

Issue of BRs was meant to be an 'exceptional method' of delivery of securities under special circumstances. But soon it became the norm.

Banks started issuing BRs against BRs, which was forbidden. This meant that Bank B could trade the BR it was handed by Bank A with a third bank, as though it already had delivery of the underlying securities. The third bank in turn would trade that BR with a fourth bank, as though it now owned the securities.

If Bank A, for whatever reason, were to default on delivery of the securities, there would be a series of defaults along the chain. It was also very much possible that Bank A never had the underlying securities to back the BR it had issued to Bank B. It probably issued the BR thinking it would reverse the transaction before the 90-day validity period for BRs. Bank A would then not have to deliver the physical securities at all to Bank B. What it would not have bargained for was Bank B trading that BR with another bank.

And that was exactly what happened. Some banks started issuing BRs that had no underlying securities. They were confident that the purchasing banks would not bother to ascertain the selling banks' ability to deliver the securities. Cooperative banks like Bank of Karad and Metropolitan Co-operative Bank, which eventually went bust, issued securities that were 'worth' many times the value of the banks' entire investment portfolio.

To make matters worse, some brokers like Harshad Mehta started taking huge positions on their own instead of simply acting as brokers to the buying and selling banks. If Bank A wanted to sell a certain government bond and Bank B wanted to buy it, Harshad, who should ideally only have connected the two and earned a commission, was now big enough to buy the bond from Bank A and sell it to Bank B for a profit.

Banks were allowed to trade securities only with other banks. But Harshad rewrote the rules of the game when he decided to become a counterparty, and not just a broker, in trades among banks. This would see him strike a deal with Bank A to buy securities at a certain rate, confident that he would be able to offload those to Bank B at a higher rate. Or, he might even short-sell securities to Bank A, hoping to deliver the securities by buying them cheaper from Bank B.

Actually, it was even more complicated than this, as neither Bank A nor Bank B could directly deal with a broker, according to the rules. Harshad got around this by enlisting the help of Bank C, which would lend its name